

HOW TO USE UPI INTERNATIONALLY

has unlocked access for millions of NRIs to use UPI for peer-to-peer payments and merchant transactions, just like residents in India.

UPI One World is designed for inbound international travellers. It enables them to load INR into a digital wallet linked to UPI and spend it easily while visiting India. This eliminates the need for forex cards and reduces the dependence on cash.

Rajan describes UPI One World as more than a product—it is a strategic innovation.

CROSS-BORDER REMITTANCES

India is the one of the world's top recipients of remittances, with over \$121 billion received in 2024. Yet, the cost of sending money through traditional channels remains high.

According to the World Bank, the global average cost of sending \$200 is 6.2%, whereas UPI-enabled corridors can slash this cost down. Merchant transactions made abroad using UPI incur no upfront fee, and only foreign exchange conversion charges are applied by the bank. "UPI Global reduces the cost of international transfers by up to 70–90% compared to traditional systems," Rajan of YES Bank notes. This makes it a powerful alternative for low-value, high-frequency payments, like remittances and tourist spending.

Can UPI emerge as a seamless cross-border payment solution, reducing costs and friction in international transactions? Yes, it can, but not without challenges. Ranadurjay Talukdar, Partner and Payments Sector Leader at EY India, explains, "The cross-border opportunity for UPI is huge, given India's massive inward and outward forex remittance volumes.

Activate UPI International through the app's settings

Look for BHIM UPI or partner network QR code at the merchant's counter. Ask if they accept UPI-based payments

Next, open your UPI app and scan the QR code. The app will automatically show the payable amount in both local currency and INR

Review the exchange rate and charges, then enter your UPI PIN to confirm the payment

Once done, you and the merchant will get instant confirmation, just like in any domestic UPI transaction



But it will always require individual tie-ups with countries." Talukdar adds that each tie-up will require a separate settlement bank to be appointed, and UPI will need to connect to the real-time payment networks of individual countries.

He adds that while several MoUs

have been signed, only the India-Singapore UPI-PayNow link is fully operational. Integration with platforms like FedNow (US) or the Gulf Payment Company (Middle East) could unlock new corridors—these networks are still developing, adding a future-proof solution could be India's participation in Project Nexus, a BIS-led initiative aiming to create an interoperable hub between domestic real-time payment systems.

Regulatory alignment is another bottleneck. "There are also concerns around how KYC and anti-money laundering guidelines will be adhered to in case of RTP integrations," Talukdar warns.

UPI's domestic success was never just about convenience—it was about reimagining finance for a billion people. Its global push is no different.

Through innovations like UPI Global, UPI for NRIs, and UPI One World, India is not just solving payment problems—it's reshaping how countries think about inclusive digital infrastructure.

"UPI can emerge as the interoperable digital plumbing enabling bilateral and multilateral corridors—sans the legacy cost structures," Rajan says, much like how SWIFT, or Society for Worldwide Interbank Financial Telecommunication, once standardised international banking messaging.

With sustained policy focus, technology innovation, and collaborative diplomacy, UPI is no longer just India's pride—it's fast becoming the world's blueprint for real-time, low-cost, and people-first payments.

Can the cross-border opportunity be harnessed? **BT**

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